
Nike Framework Agreement 2026-2029

JD Sports UK & Ireland | Tier 0 Partnership Agreement

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Classification: HIGHLY RESTRICTED - COMMERCIALY SENSITIVE

1. Agreement Overview

This Framework Agreement governs the wholesale supply of Nike-branded product by Nike EU Operations Limited to JD Sports Fashion plc for resale in the United Kingdom and Republic of Ireland. The agreement renews and replaces the prior agreement dated 1 February 2023.

JD Sports is designated as a Tier 0 retail partner, the highest partnership tier in Nike's European distribution structure. This designation provides JD with preferential access to limited-release product, exclusive colourways, and first-market allocation on key launches. The agreement runs for an initial term of three years, with automatic renewal for successive one-year periods unless either party provides 18 months written notice of non-renewal.

2. Territory and Exclusivity

The territory comprises the United Kingdom and the Republic of Ireland. Within this territory, JD Sports holds exclusive retail rights for Nike product in the following channels.

JD has exclusive rights to operate Nike shop-in-shops within its own stores, with a minimum of 85 shop-in-shops required across the territory by the end of year two. JD also has exclusive rights to sell Nike product in designated retail park and high street catchments, meaning no other Nike multi-brand retailer may be located within 0.5 miles of a JD store in those locations.

Nike retains the right to operate its own direct-to-consumer channels, including Nike.com, the Nike app, and Nike-owned stores without restriction.

JD is granted 24 exclusive colourway SKUs per season, for a total of 96 exclusive SKUs per year. Exclusivity periods range from 6 to 12 months from first delivery.

3. Trading Terms and Pricing

Nike grants JD a trade discount of 49% off the recommended retail price on core lifestyle product, including Air Force 1, Air Max, and Dunk franchises. Running product is discounted at 47% off RRP. Premium and Jordan Brand product is discounted at 44% off RRP.

Payment terms are 60 days from the end of the month of invoice. A 2% settlement discount applies if payment is made within 30 days of invoice date. All pricing is quoted in GBP and is fixed for the duration of each seasonal order book.

4. Volume Commitment and Rebates

JD commits to minimum annual purchases of GBP 650 million at wholesale cost, equating to approximately GBP 1.27 billion at retail selling price. The commitment is phased quarterly: Q1 GBP 145 million, Q2 GBP 160 million, Q3 GBP 170 million, Q4 GBP 175 million.

A tiered rebate structure applies based on annual purchase volume, calculated on a rolling 12-month basis and paid quarterly in arrears.

At GBP 600 million to GBP 649 million, the rebate rate is 2.0% of total purchases, paid retrospectively to the first pound. At GBP 650 million to GBP 699 million, the rate is 3.5%. At GBP 700 million and above, the rate increases

to 5.0%.

As of the most recent measurement period ending October 2026, JD's rolling 12-month purchases stand at approximately GBP 645 million. This is GBP 5 million short of the 3.5% rebate threshold. Achieving the Q4 commitment of GBP 175 million is critical to reaching the 3.5% tier for the full year. The estimated annual rebate at the 3.5% tier is GBP 22.8 million.

5. Markdown Support

Nike provides markdown support to protect JD's gross margin on promoted and clearance product. For seasonal markdowns of up to 30% off the original retail price, Nike reimburses JD for 50% of the markdown cost. For deeper markdowns between 30% and 50% off, Nike's contribution reduces to 30% of markdown cost. For markdowns exceeding 50% off, JD bears the full cost.

Nike caps total markdown support at 3% of JD's annual Nike purchases. At the planned purchase volume of GBP 650 million, this cap is GBP 19.5 million per year. Markdown claims are submitted monthly and reconciled quarterly.

6. Allocation and Ranging Rights

As a Tier 0 partner, JD receives preferential allocation on limited-release and high-demand product. For Tier 1 launches, JD receives allocation for a minimum of 200 store doors. For Tier 2 launches, the minimum is 150 stores. JD also receives first access to product 7 days before general release on up to 36 SKUs per year.

JD is guaranteed supply of core franchise product (Air Force 1, Air Max 1, Air Max 90, Dunk Low, Pegasus) at volumes sufficient to maintain 8 weeks of cover across the estate.

Nike operates a flow replenishment model for approximately 70% of JD's core product. The remaining 30% is push allocation, where JD selects quantities upfront each season.

7. Co-op Marketing

Nike provides a cooperative marketing fund of GBP 14 million per year. National media accounts for GBP 6 million (Nike 70%, JD 30%). In-store visual merchandising accounts for GBP 3.5 million (Nike 100%). JD digital channels account for GBP 2.5 million (50:50 split). Launch events account for GBP 2 million (Nike 60%, JD 40%).

Co-op funds not utilised within the financial year lapse at year end. As of October 2026, approximately GBP 9.5 million of the FY2027 co-op budget had been committed or spent.

8. Service Level Agreements

Nike commits to an on-time, in-full delivery rate of 95% or above. If the on-time rate falls below 92% in any quarter, the rebate rate for that quarter is reduced by 1 percentage point. Order lead time is 8 to 12 weeks for core product and 4 to 6 weeks for fast-track replenishment.

The defect allowance is 1.5% of units delivered. Product exceeding this defect rate is replaced by Nike at no cost to JD. JD may return unsold product to Nike, subject to a cap of 3% of annual purchase volume.

9. Product Tiers and Expected Margins

Lifestyle product (42% of Nike revenue, GM 48% to 50%, sell-through 85% to 95%). Running product (28% of revenue, GM 46% to 48%, sell-through 65% to 75%). Training product (12% of revenue, GM 46% to 47%, sell-through 50% to 60%). Football product (10% of revenue, GM 45% to 47%). Basketball and Jordan Brand (8% of revenue, GM 43% to 45%, sell-through 90% to 98%).

10. Compliance and Governance

Both parties confirm compliance with the UK Modern Slavery Act 2015. Nike provides annual audited statements on supply chain labour standards. Both parties comply with UK Packaging Regulations and the Plastic Packaging Tax.

Data protection is governed by a separate Data Processing Agreement compliant with UK GDPR. The agreement is governed by English law. Disputes are resolved through binding arbitration in London.

11. Key Commercial Terms Summary

Trade discount on core lifestyle product: 49% off RRP. Trade discount on running product: 47% off RRP. Trade discount on Jordan Brand: 44% off RRP. Minimum annual purchase commitment: GBP 650 million at cost. Rebate at 3.5% tier: approximately GBP 22.8 million per year. Markdown support cap: 3% of purchases (GBP 19.5 million). Co-op marketing fund: GBP 14 million per year. On-time delivery target: 95%. Exclusive colourway SKUs per year: 96. Contract duration: 3 years.

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